Mohnish Pabrai's Interview with Shaan Puri at My First Million on May 5, 2026

The contents of this transcript are for educational and entertainment purposes only, and do not purport to be, and are not intended to be financial, legal, accounting, tax, or investment advice. Investments or strategies that are discussed may not be suitable for you, do not take into account your particular investment objectives, financial situation, or needs, and are not intended to provide investment advice or recommendations appropriate for you. Before making any investment or trade, consider whether it is suitable for you and consider seeking advice from your own financial or investment adviser.

Shaan: Mohnish - round three, here we are! Elevated as always. We are on the pitch. What percentage of Americans who invest in stocks do you believe are good investors?

Mohnish: Well under 1%. But the good news is that a large number of investors invest in index funds, and index funds give you a great return without doing any work. You do not need to be a rocket scientist or understand businesses or any of that, and you get a pretty good outcome.

Shaan: Are you counting them in the 1%, or are you saying that is a separate group?

Mohnish: No, I am talking about the ones who are picking stocks. I am saying that you can take the approach of buying an index fund and be ahead of 90+% of the crowd. That is awesome. Think about doing an activity that takes no brain cells and being in the top 10%. But if you decide that you want to study businesses and then invest in them after studying them, in that universe of people doing that, there will be a small sliver who would do well with that.

Shaan: What is the mistake that smart people are making when it comes to investing?

Mohnish: It is not a mistake; it is the lack of patience. Most of the nuances that would lead to a great investment result have to do with temperament. They are not related to IQ or other things. It all comes back to watching paint dry. When we make an investment in a company, nothing may happen for 3 or 5 years. The nature of the beast is that it may not do a whole lot for a while. Many times, you invested, and it was a mistake. You need to, at some point, reverse that missage. There is activity needed appropriately, but the less the activity, the better the outcomes.

Shaan: You gave me one of the commandments, one of the truths about investing, which is "Thou shalt enjoy watching paint dry." I called your daughter in for research for this podcast because I knew you were into mental models and frameworks of ways of thinking that produce benefits. I said, "What is one that he loves?" She said, "The mistress is always hotter than the wife." Explain that.

Mohnish: I did not want to say that in front of my daughter, but unfortunately, I did.

Shaan: That was the first one she mentioned.

Mohnish: What we own is the wife. We live with her every day. What we do not own is the mistress. The unknown has exciting attributes. One of the things we have to keep in mind is that the wife is someone we know extremely well. We may be discounting some great attributes she has. The mistress is someone we do not know well. She just looks hot. We do not know all the other nuances about her, like her temperament and other things. It is tempting for an investor to say, "I own this company, but I think this other company, which I do not own, is better and I should make a swap."

My friend Guy Spier says that he is reluctant to take any action on his portfolio. Not being interested in taking action can give you a huge leg up. Sometimes we do need to take action, but in general, you have to be convinced unequivocally that the mistress is truly hotter, not just an appearance of being hotter. That is a difficult nuance to master in real life.

Shaan: The idea of the wife versus the mistress is that you have to have a high bar for action. It is not that there is no action; it is that the bar needs to be high to have the conviction level. You need to become comfortable passing on everything below that bar. In general, most of us would do well to raise our standards about all things in life: the people that we are around, the investments that we make. This is like life advice disguised as investing advice.

Mohnish: Yes. My dad used to say that to have a great life, you need one good wife and one good friend. Less is more. Buffett says that if you hang out with people better than you, you get better. If you hang out with people worse than you, you get worse. There is a gravitational pull either way. The good news is we do not need many of these. But what we should be doing is we should be trying to make sure that our relationships are ones with people we have deep admiration for and people who can make us rise. You know that I randomly stumbled onto investing. I had never been in this field. There is another mental model, which is a powerful model.

Charlie used to tell me, "Introduce randomness in your life." Let me tell you about the impact that had in 1994. At the time, I did not even understand this. My wife and I were at Heathrow airport. I was looking for something to read on the flight back, and I picked up one of Peter Lynch's books: *One Up on Wall Street.* I have never invested in a stock and was not interested in investing. I did not even know much about it. I read the book and loved it. I was an engineer running an IT company. I said, "Oh, I want to read more of this." There was another Peter Lynch book: *Beating the Street.* I read that and loved that, too. Then there were no more Peter Lynch books. In one of the two books, he talks about Buffett. I had never heard about Buffett. I said, "Let me find out about this guy." I was lucky. The first couple of biographies on him had just come out the year before. I read those, then that led me to the Berkshire letters, the partnership letters, and a huge world opened up. I started to invest using that approach. I had been doing the Buffett investing and overdosed on it. In 1997, the thought came to me about whether I should go to the annual meeting. I was thinking that the transcripts get published, I do not know anyone, and I have young kids. I was very much on the fence about whether to go to the annual meeting or not. I decided in the end to go. I wanted to see what the hoopla is all about. The annual meeting opened up another big world. Some of my best friends are people

I met in Omaha. Reading the Peter Lynch book introduced randomness. One thing I came to realize, which I tell people, is that when they are going to the annual meeting, if they are flying to Omaha on a Friday, the two people sitting next to them are both going to Omaha for the meeting as well. They are both above-average humans, so start talking to them. Because it is not the average human going there. When I look back now on my life, so much of it has come from the whole Buffett orbit. When I got to know Charlie Munger, I started playing bridge with him. I got to know his friends. I used to have dinner with him, and one by one, I met a bunch of his friends. Charlie's friends were some of the highest-quality people I have ever met. They were much older, but I worked on building those friendships, and that was such an awesome thing. Literally, every time I talked to some of these guys, and the way the conversation went, I thought, “Wow, hang out with people better than you and introduce randomness.” This is what Munger calls the “latticework of mental models.” When you start putting these mental models together, and you start using them all at the same time, that is when 1 + 1 becomes 11 and 1 plus 1 plus 1 plus 1 is over 1,000. That is when you start getting what Charlie calls “Lollapalooza effect.” That is when you get a huge leg up on humanity. Other people may be a lot smarter or work a lot harder.

Let us take Elon, for example. He has a mental model that he calls the “idiot index.” What he says is they look at some part that they need, and they will say, "Oh, this part is $5,000." Elon replies, "What are the materials that go into this part?" Raw materials. “What are the prices of the raw materials on the London Metal Exchange?” They will calculate that and say, “It is 270 bucks. We are going to make it ourselves, and we are going to make it for 500 bucks.” The thing is that none of his competitors thinks like that. None of them has this idiot index. Without that, there is no Tesla, no SpaceX, no Boeing Company. There is nothing. It is one of those core foundational models. The other thing about humans is that Boeing is aware of this model, and all the car companies are aware of this model. It is not in their DNA. This is not how they think. They are not going to adopt it.

Another mental model to understand is that humans are poor at cloning. They all understand that Elon has kicked their ass. They also understand why he kicked their ass. They know everything. He is an open book. What you need to do is also known. But after knowing all of that, there is no movement toward that.

Shaan: By the way, we would not be here right now if not for cloning. The story of this set right now is that my friend Chris Williams did a podcast here. He said, "Oh, I am doing this crazy shoot, LED wall, 3D. I got a film crew here." He sent us a video of it, and I was thinking, "Wow, that looks cool." But my first reaction was, "Buddy, it is a podcast. What are we doing? Why does anyone really care if it is an IMAX 4K? Does that make a difference?" That seems like a lot of effort, a lot of cost. I sort of wrote it off. Then it comes out. Before I even click the video, I see the thumbnail and think “Wow, that looks different,” so I click because I am a lizard-brain human, and if something is different and interesting, I click it before I even think. Then I am watching this thing, and it is interesting and entertaining. I immediately recognized that it was a mistake on my part because I thought this was not important, and it turns out that it is.

Mohnish: You had to travel a little bit in the sense that your first reaction was to stay in your comfort zone. But the second leap you made, which was after seeing it, is that you acted. From admiring it to acting it is a huge leap. 90% of humans will not do that. Sam Walton was not a smart guy. He was the founder of Walmart. He was a hardworking American, but not that smart. He had no original ideas. Every single thing at Walmart came from somewhere else. Everything was copied. He goes to meet Sol Price, the founder of Price Club, which is the predecessor of Costco. He looks at Price Club and says, "No-brainer." He sets up Sam's Club. Price eventually sells to Costco. Now we have Costco and Sam's. Sam Walton would tell you in 10 lifetimes he could never come up with the concept of a Sam's Club. He could not come up with the concept of a Walmart. Walmart came from Kmart. Sam Walton said, "There is no human who has come before me, who has stepped into more retail stores of my competitors than I have, and no human after me will ever beat that record." Anytime he traveled anywhere, even when he was going on a vacation with his family, when he saw a retail store, he would stop the car and tell whoever was with him, "Hang on here," and he would go do his 15- 20-minute tour of the place, come back, and make notes of what he saw. One time, he takes a bunch of his managers into one of the neighboring competitor stores. They come out of the store, and one of the managers says, "Sam, that was such a poorly run operation," because they could see it was a mess compared to the way Walmart was. Then Sam says, "Yes, but did you see the candle display? The candle display was fantastic."

Shaan: Finding the one golden nugget.

Mohnish: Sam said, "You can learn from anyone. You can learn from the biggest idiot operator." Sam would go early in the morning, at around 5:30, to the Walmart distribution center with donuts. He would sit down with the drivers because the drivers were going to the stores every day, and he would tell them, "What do you see when you go in?" The drivers would say, "Well, in such and such store, I saw the garbage. There was stuff thrown out that should not be thrown out, Sam." Sam was making notes of all that, and then he would go and fix all those. What I am saying is that everything at Walmart came from somewhere else. The reason cloning works so well is that no one is willing to do it.

Look at Tesla's market cap and look at the market cap of the next car company.

Shaan: I believe it is more than the next 15 car companies combined.

Mohnish: Yes. You can take the whole industry combined, and they will not get there. If you look at Blue Origin and you look at SpaceX, they have completely different approaches to how they do things. SpaceX wants to blow up rockets. That is their focus. Blue Origin focuses on not blowing up rockets, and it is miles ahead. In fact, they have clobbered the industry. The whole landing of these things backward and reusing them. People laughed at them, and they got it done.

Shaan: I will give you a story of two of your models combined, as you said. Introduce randomness. There was a period of time after I sold my first company, and I

was thinking about what to do next. I kept shuffling through ideas. I could not figure out which one to do. I realized I am sitting here in San Francisco and I am meeting the same people, talking about the same things, going to the same tech events over and over and over again. I had a gut instinct that I needed to introduce more randomness to my life. I hear about an event called *Farm Con*, a farmer's conference in Kansas City. I thought, “Sign me up. I am going.” I go, and I am the only tech guy. I literally look like a fish out of water. I am dressed wrong. I do not know anything about farming. I even get there, and I do not know what the hell I got myself into. I took Ben with me, and we are sitting there while they are talking about soybean futures. I do not even know what soybeans are. We are completely out of water, but it was a great way to just shake up the snow globe a little bit and introduce randomness and serendipity.

When we are there, we meet this guy whose name is Kevin Van Trump. He was the guy who owned the conference. I asked, "How did you get all these people? How did you get so many farmers to come? There are 4,000 farmers, and they all love you. How do they even know you?" He said, “Well, I have been writing a newsletter for 20 years for farmers.” Half of the thing is memes and funny jokes because the farmers want to laugh in the morning. The other half of it is his letter about what is going on in the markets today for farmers. We are sitting there, and when we leave one of the conference rooms, we decide to clone because I met with you for the podcast, and you had this great analogy of “who is the dumbest guy in the world,” and we decided that the dumbest guy in the world is the guy with the gas station across the street from the more successful gas station. You could be unsuccessful, but if you are staring at the gas station across the street and he is winning and doing everything right while you are not doing those things, that is on you. I am sitting here, watching Kevin Van Trump, who has a newsletter for farmers. At this time, crypto had just started becoming very interesting. I said, “You know, Ben, what if we created a newsletter for crypto just like this guy has done for farming. We will do it for people who want to keep up with the crypto news. It will be half memes and half news. Let us do this. Let us write the first edition tonight.” We wrote the first edition while we were there, and we named it something that was themed after the conference. It was called the “Milk Road,” like a dairy name. In one year, we built the largest crypto newsletter in the world. We sold it for millions of dollars. We had one employee. It was the best business I ever did at the time, just in simplicity. It was all because we strung together two of these models: introducing randomness and cloning.

Mohnish: Humans complicate things a lot. McDonald's had this whole big department on figuring out where to put the next McDonald's. Location is important. Burger King had two guys. They just looked at where McDonald's is going, and they put it across the street. That was their model. Phenomenal. Because all the work is already done. Cloning gives you a huge advantage.

Another bedrock model that no mental model works without is “Take a simple idea and take it seriously.” To me, none of the other models, like cloning or not using Excel, works unless you buy into this first model. You have to go all in. I made my first trip to Turkey purely on a limb, just like you going to the farmers’ conference. I did that because it was screening cheap and I wanted to take a look at this market. That was in 2018. What I learned

is that the average Turkish public company cycles through its float every 17 days. Let us say a founder owns 40% of the company. The other 60%, the shareholder base, will turn over. Literally about 4% of the shares are trading every day. Every 17 days, you get a new set of shareholders. Buffett has a quote where he says, “The stock market is a mechanism to transfer wealth from the active to the inactive.” This is hyperactive. If you look at something like Berkshire Hathaway and you look at how frequently its shareholder base changes, it might be the slowest in the world. It might be 10 years or more for the float. Here you have 17 days. I even looked at places like India. I compared Turkey and India, and what I realized is that in Turkey, almost all the investors are gamblers and speculators. They want to buy at 10:00, they want to sell at 3:00, and they want to make 10%. That is their model.

Whereas in India, what I found is that out of 5,000 public companies, there are maybe 100-150 companies with good governance that are investable. A lot of research has been done on those by a lot of smart people in India, and they have pounded into those companies, and they trade at stratospheric valuations, very expensive. I would look at a Pepsi bottler in India, and I would look at a Coke bottler in Turkey, and the valuation differentials were massive, although they were the same business. I would look at an airport operator in Turkey and another in India, huge valuation differences again, because here everyone was looking for long-term and all of that. When you take the first model, “Take a simple idea and take it seriously,” I thought India was zero, so we are not interested. Even though I am Indian, in the case of Turkey, I am going all in. I decided to be an inch wide and a mile deep. I thought, “I understand the nuances of the Turkish market. I want to study everything in here. This is my Moody's Manual, and I want to go through every single thing. What I found is that whether it is a useless company in Turkey or a great company in Turkey, they are all cheap, and that is great. We will focus on great. No one is interested. You have all these people buying and selling shares. We were able to make some investments that we could not have made anywhere else in the world at valuations we could not have made. The simplest thing is to take the first model, and it gives you an edge.

Mental models carry so much weight that it makes your journey light. They do the heavy lifting, and all you have to do is not violate them.

Shaan: I wanted to ask you about violating them because sometimes I could see a world where they clash, or the definitions get fuzzy. For example, one idea is to invest in your circle of competence. But with Turkey, it was not your circle of competence. You sort of made it your circle of competence. In that sense, how do you think about that? It sounds like some of the best bets for you and others have been where you decide to go get smart about a space, but you were a complete beginner in that space, maybe 6 months prior.

Mohnish: Before I went to Turkey, I had already studied Coke and Pepsi bottlers. I studied the Coke and Pepsi business quite a bit just because Buffett had invested. The Coke concentrate syrup business is phenomenal. It is a software company with 80% margin. It is a great business. The bottlers are not as good a business as Coke, but they are oligopolies, and most of them also do well. They have more CapEx and all that, but it is a good business. When I am looking at a Coke or Pepsi bottler anywhere in the world, one of

the things to keep in mind is that they had to be approved to become a Coke or Pepsi bottler. Coke and Pepsi are picky about who they are going to allow, especially at this stage, because they have global brands. To me, it was relatively easy. When I went into, for example, the Coke bottler in Turkey, it was not surprising to me that the management team was super high quality. The management team was multinational. They were not Turks. The CFO is from Ukraine, and he had worked in Delhi before that. You could see that this was a global team running this business. Similar to the airport operator. I looked at other airport operators. I started by using guardrails. I focused on the simplest businesses, which were ones that were the easiest to understand. One of the things about investing you should also understand is that the businesses you spend the least amount of time studying tend to be the ones that make you the most money because they tend to be the simplest. They are obvious. But yes, you have to couple the circle of competence with the introduction of randomness. Those two are not in conflict with each other. The introduction of randomness is how you grow, and that is how the circle is naturally going to expand over time. But you do not need to focus on expanding.

Shaan: In your book, you have some great stories. The one I remember is the American Express.

Mohnish: The salad oil crisis.

Shaan: Yes, the salad oil crisis. I did not know about this. It is a little bit before my time. Tell us the story. It is an amazing story.

Mohnish: American Express, at that time, always had several different businesses that we do not think about. One of their businesses was asset-based lending. There was a crooked guy who got them to finance his inventory of salad oil, where he said, "I have warehouses filled with salad oil." They financed it, and there was no salad oil. It was seawater.

Shaan: Somebody figured this out? How did they know there was just seawater in the barrels?

Mohnish: When they went to collect, got the asset, and looked at it, they found that they got nothing. They had been duped. It was a significant loss for American Express with a big dent in the balance sheet. Obviously, when they reported it, the stock collapsed, and Warren felt that the big value of American Express was in its brand. His question was: Is confidence shaken in the credit cards?

For example, if I am a restaurant owner and I accept the American Express card, in effect, American Express owes me money. What he did was go to a number of different restaurants in Omaha and stand by the cash register. He wanted to see whether the restaurants had any concern about accepting the American Express card, and he saw zero concern of any kind. He felt that the moat of American Express was unaffected. The trust and confidence in the brand were not affected, and the stock, on the other hand, had collapsed. He put 40% of his fund into American Express (40% of a single stock). It may have been about 30-40 million in capital, so around 10-15 million or something went in. The crisis abated. American Express started to

get its balance sheet straightened out, and eventually the stock. These businesses were fantastic and their credit card business at that time was growing gangbusters. It was on a rocket ship. The interesting thing is, he met Walt Disney once just before Disney died, and then he felt funny. He went to see Snow White. He said, "I went to see Snow White with my briefcase because everyone else is there with their kids, while I went to actually study the business." He wanted to study what Snow White is all about. He owned around 5% of Disney. Of course, for him at that time, there was no buy and hold. It was just looking for the next cheap thing. He had a significant ownership in American Express and in Disney. He sold all of these at a good profit, but he could have carried them on. If he had kept them for 20-30 years, they would have done extremely well.

Shaan: I am trying to piece together this puzzle of what some of the traits and behaviors can lead to great investing. When I think of an investor, I think of finance, strategy, numbers, Excel, and spreadsheets. That is where my brain goes. That is the picture I had in my brain. When you are describing, it is like he goes to the movie theater to observe. He stands outside the restaurant. He asks the guy a question. These are not spreadsheets. This is like journalism. It is firsthand research. Do you do the same? Teach me about that.

Mohnish: One of my ten commandments of mental models is "Thou shalt not use Excel."

Another model is "If you cannot explain your investing thesis to a 10-year-old in about four sentences so that the 10-year-old can understand it, it is a pass." At the end of the day, every investment has to be simple. It starts off being a complex thing, but when you have understood, it needs to get down to those four sentences. That, to me, is one of the most interesting parts of investing. The way it works is that we have 50,000 stocks around the world. If you are investing in public markets, the data set is too large. No one is ever going to know 50,000 companies. A large number of those businesses, something like 90 or 95% or 98% of them, should go into the too-hard pile. Buffett has a box on his desk which has "too hard" written on it. One time when I visited his office, I told him, "Warren, the too-hard box is empty." He always said 98% goes in the too-hard box. He immediately took a bunch of papers and put them in there, and it became full. Most businesses that we would encounter or look at usually have two problems. They are either outside the circle of competence, or they are too hard, and this is an exercise in honesty and inner scorecard, where you have to be honest and not be delusional that you know everything about everything. It is an exercise in humility.

Peter Lynch used to say that when you are looking at businesses to invest in, make a list of everything you use. What shoes do you wear? What clothes do you wear? What brands? Where do you go to eat? Make a list of everything that you consume, and study those companies because many of those companies are publicly traded, and it is difficult for a company to get even a dollar from you. All of us as humans are discerning about how we want to spend our money, and we make our choices. Those choices are specific. If you are already a consumer of the product, you understand the product. That gives you a basis to try to understand the business because

you are a consumer of the product, and then you can kind of go from there. We are in a business which Buffett says has no called strikes. If you are a baseball player, three strikes and you are out. That means if the ball is within the strike zone, you have to swing at it. Even if it is not in the sweet spot, you have to swing at it. In investing, we can let 10,000 balls go. It is only when we get the fattest pitch in the center of our sweet spot that we need to act. If those conditions are not satisfied, let it go.

What you mentioned is that entrepreneurs are all about action. Investors are also all about action. The action is below the surface. A person like Warren is spending all his time studying businesses. Usually, not much comes out of it because we only see the whale when it surfaces. The whale is swimming all the time. The activity that investors need to enjoy if they are going to be good at this field is just turning the pages one after the other after the other.

There used to be a racetrack in Nebraska called Aksarben Racetrack. It is Nebraska spelled backward. When I first went to the Berkshire meeting in the early 2000s, the meeting used to be at the Aksarben Racetrack with about 10,000 people. Buffett used to go to that racetrack when he was 11 or 12 years old. He used to gather all the tickets that were lying on the floor or in the trash cans that people had thrown away. He would go home and study each ticket one by one because a drunk guy may have thrown away a winning ticket. They may not have looked at it carefully. Some things in horse racing are difficult. Win, play, show. It could be a place or a show, and could have still won, and that sort of thing. After sifting through all the tickets, he would find a few winning tickets. He was 12, so he could not go to the window to claim them because you had to be over 18. He would give them to his aunt Alice. His aunt Alice would go to the racetrack, collect on those tickets, and give him the cash.

When he was in his early 20s, he went through the Moody's Manuals. On eBay, I bought one of these Moody's Manuals because they do not publish them anymore. They are printed on extremely thin paper with small text, and they have financials about three or four companies on one page. He went through all of them in the early 50s, two or three times, turning one page at a time. He was looking for anomalies. Ajit Jain made a comment this time at the Berkshire meeting. He said, “When we hire people in the insurance business, the instructions I give them are whenever someone comes to you for any deal, always say ‘no.’ Say ‘no’ to every single thing presented to you. You will see a deal that hits you in the head like a 2x4, and you cannot believe the deal. That is when you bring it to me, and then we will look at it.” Investing is the same way. When he was going through the Moody's Manuals, he was looking to get hit in the head with a 2x4. He found Western Insurance. The stock is at $15. They made $25 last year and $40 of cash on the balance sheet. That is hitting you in the head with a 2x4. He pulls that out, invests in it, looks at it, and goes and understands more of the company and all of that. Then the next thousand companies, nothing. Then he again finds something.

In the last four or five years, he made bets in five Japanese trading companies. Those came out of something like the Moody's Manual called the Japan Company Handbook, which is an English publication updated

once a quarter. Two public Japanese companies on every page. It is a thick book. He has been going through the Japan Company Handbook for at least 20 years. This is the first time after 20 years of going through it that he made these bets. But it was a huge home run because again hit with a 2x4. In this case, all of them had a dividend of 8 or 9%. What he did was he borrowed the entire 5 billion that he put into these companies in Japanese yen. It is 100% levered at half a percent a year. The companies are paying 8 or 9% a year, so he is getting 7.5 % cash for holding these investments. Then, in the next 3-4 years, they doubled their dividends. Now it is 16%. The stocks doubled. The 5 billion became 10 billion, and the 10 billion is paying 800 million a year. It was almost fully risk-free. That is the nature of investing. In this game that we are playing, there is continuous activity of a different kind than the way an entrepreneur plays, but it is orgasmic activity. If you have that type of temperament, if you enjoy looking for needles in haystacks, then the payoffs are huge.

Shaan: At the Berkshire meeting, Buffett had this line that I loved. He said, "The stock market is like a church with a casino attached to it." He also said, "That casino is getting crowded. Seems like a lot of people are visiting that casino nowadays." I am curious to know what you think about that, especially in the context of prediction markets, Robinhood, options, two-day options, and leverage. There are so many ways to play in the casino.

Mohnish: All of that, from my point of view, makes it better for me.

Shaan: The wealth transfer.

Mohnish: Exactly. The thing is that the more hyperactive people get, the better it is for me. It is unfortunate because the stock market serves an important function of allowing gifted leaders and entrepreneurs to get the capital to pursue their dreams. That is the reason why we have capital markets: to funnel capital to the best users of the capital. Of course, the side effect of that is that you have all the casino activity that comes with the church. There was a big bubble in the UK, the South Sea bubble, where there was a big speculation orgy, and prices went crazy. Eventually, a lot of people lost money. The British government's response to that was to ban public markets for 200 years. Interestingly, even when there were no public markets, several great businesses got created in the UK, and capital still found its way to them. It does not always need to be through an auction-driven market. But the main purpose of the New York Stock Exchange, the Hong Kong Stock Exchange, and so on is to funnel and allow the capital to go into the Teslas and the SpaceXs of the world and allow those businesses to improve the lot of humanity. Of course, the side effect of that is that there is all the casino activity going on, and as we have seen with Robinhood and so on, it is a negative for humanity. The more that becomes prevalent, the more negative it is.

But when I look at it from an individual point of view, from my own self-centered, self-interested point of view, the more the merrier. That is going to be more helpful to someone like me.

Shaan: I do not know if this is fully accurate, but the New York Times said this on Polymarket: 0.1% of the users have 60% of the profits right now. They said

something like 2,000 traders had made half a billion dollars this year. Only 2,000.

It was an immense wealth transfer from the casual gambler to what is likely an insider sitting there who has more knowledge or is a bit of a sharpie and is being more selective.

Mohnish: If you look at something like horse racing, the track takes 21% of every dollar because physically paying for horses to run is expensive. Whereas, let us say, if I go play blackjack at a great game in Vegas, the house has a 0.2% or 0.3% or 0.4% edge. Every time a gambler bets, 49.5% or more is coming back to them. It is 49.5% odds that they will win that bet. It is pretty decent. Whereas in horse racing, you have already lost. The 21% is gone already. But some people make a livelihood only betting on horses. The way they make the money is the same as what is happening in Polymarket. They watch all the horses and all the races, and they pick the one where the odds make no sense. They know the horses, and they know the races, so the odds are set based on how much is being bet, just like the stock market. You are betting against the other bettors, and that is what is happening in Polymarket as well.

Shaan: I was looking through all the stories you have done, and one of the craziest ones is that you paid $650,000 to have lunch with Warren Buffett. Was it worth it?

Mohnish: In 2007, my net worth hit 84 million, and most of it was because of the intellectual property of Warren Buffett, which I had paid nothing for. I felt like I wanted to thank him and just look him in the eye and say how grateful I was. When Buffett does these lunches, his agenda is that whatever someone paid, they should feel like they got a bargain. From his point of view, he just wants to make sure that there is tremendous value delivered. Before we met for lunch, there was about a one-year gap between the time I won and when we sat down for lunch. His assistant had asked for bios of everyone who was attending, and he would study all of those. When he got there, he said, “My entire afternoon is free. Whenever you guys get sick and tired of me, just let me know, and I will leave.”

Shaan: What was the one thing you took away, now 20 years later?

Mohnish: I made some notes after lunch, and we had a total of over 50 questions that we asked him. Of course, Warren has a great skill of taking lemon questions and converting them into lemonade. Sometimes I asked him questions that were just innocuous questions, just an update. I asked him, for example, “What happened to Rick Guerin?”

Shaan: Explain who Rick is.

Mohnish: Warren and Charlie Munger were partners for several decades. Originally, there were three of them. There was Warren, Charlie, and Rick Guerin. In the 60s, they did a bunch of stuff together, and in the early 70s, Rick Guerin disappeared off the radar. We never heard from him. I wanted to know what happened to Rick, so I asked Warren, and he converted that question. He said, "Charlie and I always knew we were going to be rich, but we were not in a hurry, and Rick was in a hurry." Then he talked about how Rick was

always levered. He always had margin loans. In 1973-1974, there was a severe stock market correction. It was a crash in slow motion. The markets went down more than 50% over those 2 years. Rick got several margin calls, and Warren said that he bought Rick's Berkshire shares from him for $40 a share. Those shares are over 700,000 now. He then said. “If you are even a slightly above-average investor, spend less than you earn, and do not use leverage, you cannot help but get rich over a lifetime.” He wanted to communicate the message about the ills and follies of leverage. But I felt there were so many lessons. There was another important thing he talked about. He said that there are two ways you can live your life. You can live your life with an outer scorecard, which is what people think of you, and react to that, or you can live your life with an inner scorecard, which is how you measure yourself with internal metrics, not with external metrics. He asked, “Would you prefer to be the greatest lover in the world but known as the worst or the worst lover in the world but known as the greatest? If you know how to answer that question, you have got it made.” This inner and outer scorecard is a fundamental mental model for me.

You have to be true to yourself, because we can be easily swayed by external inputs and stimuli. To keep it centered is awesome.

Shaan: I have thought about that one a lot. I read in his biography that the most important lesson his father taught him was to live life with the inner scorecard. How does one do that? How do you go from the outer scorecard to the inner?

Mohnish: You have harsh critics who want to pull you down and take you below where reality is. I have met people who criticize Gandhi, Buffett, and others who have lived remarkable lives. The way I look at it is I say, “Okay, if they can criticize Gandhi, then I am fair game.” Any time you have any kind of public presence or anything else, you are going to get all of the above.

Shaan: Berkshire has something like almost 400 billion in cash. What are they doing? What are they waiting for?

Mohnish: Yeah, 380. This has been the history of Berkshire, where the cash will build up, then they will find opportunities, and they will put it to work. They are not suffering right now because treasuries are playing pretty well. They are making decent money. But we get dislocations, and we do not know when these dislocations will come. We had dislocations during COVID. We had dislocations in the financial crisis. If I were to make a guess, I would say that 5 years from now, the cash may be half or less of what it is today. Berkshire used to be run by a great capital allocator. Now it is run by a great operator and a pretty good capital allocator. Berkshire is going to get phone calls, and Warren used to say, “When they call you on a Saturday, that is when you know you are going to make a great deal. Saturday calls are the best because they are the most desperate calls. They need the deal done before Tokyo opens on Sunday night US time.” When there is a crisis, and Berkshire is a little better known now than it used to be, Greg will get the call. The investing game is interesting because you need extreme patience with extreme decisiveness. Charlie used to say that it is like standing by a stream with a spear, looking for salmon going by. You might be there for a while, but then suddenly a juicy salmon comes in. When a juicy salmon is passing

by, you have to act fast. You cannot start contemplating at that point. You have to be patient with your spear in hand. You do not know whether it will happen in the next 5 minutes, 5 hours, or 12 hours. But you are ready.

Shaan: In your whole investing career, what one investment has been the best for you?

Mohnish: I had two more than 100 bagger investments, which went up more than 100x before I started the funds. I started investing on my own in 1994 or 1995, and then by the time I got to 2000, I had two businesses. One went up 140x, and the other went up about 100x. In one case, I had invested about 10,000 in 1994, and it became 1.4 million, but there was another business I invested in, which became more than 10 million. These two were the outliers. The original million became 14 million or something, but it was driven by these two investments. More recently, the company in Turkey that we bought at 3% liquidation value is hitting 100x now.

Shaan: Which one is that?

Mohnish: That is Reysas, the warehouse operator. When we first started buying, it was a 15-16 million market cap, and the liquidation value was about 800 million.

Shaan: What was the big misunderstanding? You have told me before, "I look for what is hated and unloved or where people have confused risk with uncertainty." Was it something else in the Turkish market? Why was it trading like that? When you say 3% of liquidation value, that means the price of the business is 30x in only the assets it owns if it had to liquidate everything.

Mohnish: Turkey was, and even still is, in such a weird state that it is hard to believe. For example, at the time the company was trading, what should have happened with a company like that was that the owners should have taken it private. The owners of the business did not have a good understanding of buybacks and taking it private. They have good operators, and they went to the public markets to raise capital so they could grow. They got the capital and were growing. They never cared about the stock price. Even today, they do not calculate their wealth by the stock price. They calculate it based on what they think the business is worth. They do not care about the stock price, which is a great way. You want the business to trade near the stock price, near the value, so that anyone entering or exiting is getting a fair deal. That is what Buffett tries to do. He wants to make sure that Berkshire's value is always around what it is worth.

The first company I visited in Turkey was trading at a PE of 0.1. I never heard of that. A PE of 0.1 means that the market cap was equal to 1 month's earnings. I remember my friend had sent me a list of the businesses we were going to visit, and I did no work on these companies. I was going to do work on them after I visit them because I do not want to waste time if I do not like them. We were driving to the company, and I started asking him questions to appear somewhat intelligent in the meeting. I asked him, "What is going on here?" He said, "Well, Mohnish, it is a PE of 0.1. It is one of the largest banks in Turkey." I said, "What is going on?" He said, "They violated some UN sanctions. They were doing some wire transfers with Iran that they

were not supposed to do." What happened with that company was that the CFO of the business, who did not have anything to do with this craziness, went to the US to vacation with his family at Disney World. When he landed in New York, the Southern District of New York folks picked him up at the airport and put him in Riker's prison in violation of the sanctions. They told him the rest of the family can continue to enjoy Disney World. In cases like that, you are going to be cut off from the Swift system. The US can put sanctions on you. You could kneecap the bank. Erdogan at that time was calling Trump in his first term, saying, "Can you please release the guy? He did not do anything." Trump said, "It is New York State." All of this was playing out while I was going to see the company. The business was a well-run bank. I told my friend, "It is too much hair even for me. I am not going there." Turkey, then and even now, has some crazily priced assets, which is why I decided to "take a simple idea and take it seriously." I thought, "Okay, this is the situation where half the winners of the Aksarben Racetrack have thrown away winning tickets. Instead of one in a thousand or one in 500, it is 50 out of 100 have thrown away winning tickets." It is going back to the mental model, "you take a simple idea, and you take it seriously."

I remember when this company was $15 million. Turkish stocks are allowed to go up 10% a day. I was concerned about how much stock I can buy. I told the broker, "Buy every share available. Do not worry about the volumes. Take out all the asks. Take them all out. If more shows up, take it out. Take everything you can get." The broker calls me and says, "I have 5% of the company being offered by Templeton Funds. This is a US fund in Turkey. Templeton Funds is offering 5% of the company for a million dollars. 20 million market cap for 1 million." I said, "Why are you calling me? Take it."

This is not a Turkish investor. These are not people who are day traders. Somebody in New York made a decision that they want to exit Turkey. The reason they were leaving Turkey is the currency was unstable, and inflation was rampant. They were right about that. Two things that were bothering investors a lot, which can be detrimental to investing, are an unstable currency and high inflation. Other mental models came in to help me.

One of the things that I discussed with Charlie is, let us say, there is a global thermonuclear event. 99% of humans are dead. We have gone to 70 million humans left out of 7 or 8 billion, and everything is destroyed. Among the 70 million humans that are left, someone is going to start producing Coke concentrate, and someone is going to resurrect a Coke bottling plant because there are 70 million humans and there are no currencies anymore. But humans will be willing to trade 15 minutes of labor for a Coke. A company like Coke is not dependent on inflation. It is not dependent on exchange rates. It is not dependent on anything. There is a benefit it gives. It does not matter whether you are trading Coke cans for seashells or dollars or lira or whatever. There is an exchange that would take place.

I said to myself when I was looking at this warehouse company, "What is a warehouse? It is land, paint, cement, and steel. Okay, all four are inflation-indexed. If the currency goes crazy, all of these prices are going to go up. I do not care about the currency." Then the exchange rate also did not matter because these are prime assets in a prime city. People need those assets just like they need to have a Coke. I only looked at investments in Turkey,

which were naturally immune to the whole inflation or whatever while this was going on. What happened in Turkey is that when we were buying this company, it was five liras to the dollar. That was the exchange rate. Seven years later, it was 45 liras to the dollar. The lira has collapsed by 90%. In dollars, I am up 90x. In liras, I am up infinity. Who cares? I do not care about that. I am just looking at it in dollars. There was another mental model where I said that there are many businesses in Turkey that will get hurt by inflation. We are not interested in those. There was another company there called TAV Airports. All their revenue is in euros. Everything is in euros. They are listed on the Istanbul Stock Exchange with all the gamblers. Airport operators are phenomenal businesses. Normally, when you look at an airport operator, for example, if you look at one in India, the trailing PE, it will sell at 50 or 70 times; natural monopoly and extremely desirable. Everyone wants in, and so it is just over- inflated and all of that. In Turkey, it is sitting at 3 or 4 times; it is sitting at nothing. In the case of TAV Airports, the currency is not relevant. What was happening is their revenue was in euros, and their costs were in liras. In fact, what is happening is that the employees are getting poorer every year. It was using a few models: “take a simple idea and take it seriously,” “active versus passive,” “understanding that thermonuclear event people want Coke,” and “let us look at assets where the currency is not relevant.” When I was able to look at those 4 things, there was no one else on the planet applying those 4 models at that same time in that market. That is it. How difficult was that?

Shaan: The question I am trying to ask is more like how hard is it to beat the index?

Mohnish: If you look at the entire US stock market over the last 90 years, 4% of companies have delivered the market return. The return we are getting in the market has come from 4% of businesses. The other 96% have just treaded water. If you look at Warren Buffett, for example, he said this himself that 12 investments he made over 60 years are what have created Berkshire Hathaway. He has made more than 300-400 investments. His success rate is 3 to 4%. This is the reason why indices do well because the index is too dumb to know that it owns Nvidia, and it is too dumb to sell it. It is too dumb to know that it owns TSMC, and it is too dumb to sell it. Whereas an individual investor or a portfolio manager will look at it and say, "Oh, it is overvalued” or “this and that” or “the mistress looks hot” and make that change. This is the reason why index investing does well because it includes that 4%. You do not need to think about it. You have captured the 4%, and you will get an extremely good market return.

When I look at what I am doing, I do not think I would have the wealth I have had, and I do not think my investors would have had what they have done if we had indexed. We have done better than the index. The way I look at it is that every year that goes by, I am getting to be a better investor. If I were playing a game like basketball, I would start declining. When I get to my 30s and 40s, I am gone. But investing is a game where you can keep getting better, and you keep seeing more patterns. You expand your circle, and you get better at looking at different things. Experience is a huge plus, and all of this accumulates. Also, you get to ride the winners, if you will. The important thing in investing is not the mistakes you make. It is not selling the winners. The 4% bets of Berkshire are what worked. The other 96%, whatever Buffett did with them, did not matter. It did not matter whether he sold them,

bought them, or liquidated them. That did not move the needle. What mattered was not selling Coke, not selling Apple, having Greg Abel run MidAmerican Energy, having Ajit Jain run the insurance, and not firing him. Those were the important things.

Shaan: This is your "circle the wagons" concept.

Mohnish: We have to understand that capitalism is brutal and almost every business will eventually go to zero because of the competitive destruction forces. But what happens is that a brand gets built or tastes emerge. Take, for example, a business like McDonald's. It starts off with no moat, but now it has a brand. There will be a sign on the highway saying McDonald's 8 miles ahead. You see that sign and say, "That is where I am going."

Shaan: Even if Sean's Burger Shack is one mile away.

Mohnish: Exactly. That is the moat. It is accidental, for the most part, how and when moats get built. But when these moats get built, some of them become enduring for a long time. If you look at something like FICO, for example, that business just prints cash. More and more people start using that score, and now there is a movement where people are talking about other things, but they do not want to move away from FICO. It is too entrenched. We, as investors, have the advantage of buying into existing moats. If I look at the largest bet we have, which is the Turkish warehouse operator, they have prime warehouses that are extremely well-built in prime parts of Istanbul. That is an important and big city. It needs it. It is fundamental, and it is not going away. In fact, the demand for warehouses increases in an e-commerce world. They were building quarter-million square foot warehouses, and now those are becoming million square foot warehouses because of all the nuances happening with e-commerce. We want to look at businesses where the moats have staying power for a long time. An airport operator and a Coke bottler are going to go on. We want to look at these enduring moats, and eventually, we want to own parts of those enduring moats.

Shaan: I want to ask you about some new things. It was interesting to look at the investments that have been around for 100 years. But there are new things that might be around for 100 years from now or might not. I am curious to know your opinion on those. I am going to throw four topics at you. Tell me where you are mentally on these different things. The first is AI. I do not think you could be an investor in the world and not have AI thoughts—whether you think it is going to disrupt certain businesses, create new industries, or provide huge tailwinds or headwinds.

Mohnish: Invest in the pickaxe makers. The Alphabets and Metas of the world are playing a game they have not played before, which is running businesses with high CapEx. It may work; it may not work. I do not know. But what I do know is they have to pass through some toll bridges. They all have to pass through TSMC. They have to pass through ASML. They probably have to pass through Micron. I have no bets in any of these areas because they either go into the "too-hard" pile, or fall outside my circle of competence, or are too expensive. If I am not making a bet, it does not matter whether I am right or wrong. What I am saying is that there is no way I am going to sell the Turkish

warehouses to buy TSMC, because that trade makes no sense to me. The mistress looks much uglier than the wife, because of the valuation.

Shaan: There are no bonus points. When I came to your house once, you were telling me about your investments in coal, and you talked about how you look for things that are hated and unloved. It is a clue for you to go spend some time there because you think that there might be an opportunity. I feel like, right now, in my world, the hated-and-unloved bucket is SaaS companies, particularly vertical SaaS companies. I saw that you invested in Constellation. I am curious, and I have been thinking about this too. There are a lot of great businesses that are on sale right now.

Mohnish: That was an area where things fell within the circle of competence, and it made sense. The idea that Betsy in HR is going to fire up some AI software, develop her own software, and get rid of Workday or whatever else they are using in HR is just a pipe dream. What is not well understood by the market is that software is not coding. Coding is automated and will get even faster, but it may be, at most, one-fifth of the pie. Just because you can get something coded quickly does not mean that Adobe is going out of business, or that you do not need Photoshop and all the products they have. I feel the market has gotten it wrong. In my view, the advantage will go to the incumbents. Adobe will be able to reduce its costs. Microsoft is laying off people. They are all laying off people, because they do not need as many people when they can automate it. All of these incumbents are going to reduce their costs. They may also end up reducing prices. But they may not even need to reduce prices, depending on how strong the moat is. I do not see their cash flows going down. If you drop the price in half and the cash flow is not going down, where do I sign? I specifically invested only in the Mark Leonard universe of businesses because he has a unique moat. The reason I invested is Mark Leonard. No one has ever cloned Constellation, and no one ever will be able to clone Constellation.

Shaan: Explain who he is, because he is a mysterious guy. There are only two photos of this guy on the internet.

Mohnish: Mark is a highly unusual leader. There is no other person like him. Let us put it that way. What he has built at Constellation is unique. There are probably 70,000 to 100,000 private vertical-market software companies in the US. They have a business development team that contacts all these companies twice a year by phone and twice a year by email. In fact, the funny thing is, I was in Omaha at the Berkshire meeting, and a guy came up to me and said, “Mohnish, I am a huge fan of yours. I am in the Constellation M&A team.” I said, “Do not go anywhere. I need to talk to you.” I tried to get a conversation going because Constellation is such a black box. Anyway, they have a large M&A team.

Shaan: They buy a company every three days or something like that.

Mohnish: They bought about 200 companies last year, for example, and they bought more than a thousand companies overall. They do not use bankers. They are doing direct deals. They might be paying five- or six-times cash flow, but almost immediately, within a year or two, the effective price becomes more like three- or four-times cash flow because they bump up the revenue a

little bit, increase the license fees by about 20%, and apply all the best practices they have built up. Now, they do not tell the companies, "Do this," or "Do that." Instead, they say, "Look, you are in this business. Here are 80 other companies we own that are similar, and this is what we have learned. This is what we suggest. You do your thing and whatever you want." They extract more efficiency out of their engine. On an organic basis, if they were not buying anything, they would be growing about 3% a year. These companies that they are buying are not dying. On average, they are still growing. If you think about buying a business that is growing 3% a year and you know interest rates are where they are, you would be fine paying 15 times cash flow. That would probably be about where the deal should be done somewhere.

Shaan: Explain what the math is there. I do not understand.

Mohnish: The math there is that a business is doing 10 million in sales, and let us say they are putting 1 million to the bottom line. That 1 million is going up 3% a year. Now, let us say you were buying that company for 10 million. Your alternative is to put it in treasuries. You put it in treasuries. You are going to get 400,000 a year. You put it here, and you are getting a million a year. The million is growing, but it has more risk than the treasury. You will not pay exactly what the treasury is paying. That is the math. The risk-free rate effectively means that if you knew a business was growing at 3% a year, you would be willing to pay in a low-interest-rate environment, 10-15 times cash flow. They are effectively buying it three or four times because they get these efficiencies. Now you are taking the cash flow the business is generating, and you are reinvesting it at a 25% rate. You are continuously doing that. Nobody else has the patience to put in the engine to touch the 70,000 twice a year. Also, the more difficult part is integrating them.

In many ways, Constellation is superior to Berkshire Hathaway. Berkshire buys businesses of all kinds. Constellation buys only one kind of business, and in a delegated manner, because the people doing the deals are not even at the headquarters. They do not even need approval because they have been told that for any business up to 20 million, you can just do your deal. Those teams keep doing that and have a track record, so they bump up even more. It is a delegated model at this point. From my point of view, you have a mouse trap that is growing cash flows at 20-25% a year. What should you pay for a mouse trap that is growing cash flows 25% a year? You would be paying 40 times. If you knew that was going to continue forever, you would easily pay 40-50 times. It went down to a teen multiple. It came down to a point where even someone like Mohnish, a cheapskate, got interested. The thing is that the DNA he has is special, and this universe of companies that he is going after is too small for private equity. Private equity hates doing these itty-bitty deals. The second is that they do not want to buy and hold them. He is buy and hold, but these guys want to flip. The frictional cost of buying a tiny company and then trying to find another buyer and all that, there is too much nonsense involved. Quite frankly, the only competition they would have would be if someone decided, I want to do everything the same and the market could tolerate three Constellations. It is large enough for three or four Constellations but there are none. There is only one. That is why we are in.

You have to understand the 4% rule of Buffett. Only 4% of his bets work. Look at my bets: airports, coal, warehouses, Constellation. If you ask me about each one, I will give you a case for why it works. But there is no way all of them work. That is not going to happen. But if half of them work, we have a home run. Even if 40% work, we have a home run. This is a forgiving business. I do not know which half works. I wish I knew.

I know that our coal bets, for example, there are things that can cause that bet to fail. They are low probability, but they could happen. Maybe those things happen, maybe they do not happen. I do not know. Constellation, maybe cloners arrive. I do not know. Maybe the DNA of the company deteriorates after Mark is gone. I do not know. There are unknowns, but it is a favorable bet. It is not a 100% bet, but it is a favorable bet. As long as we keep making these favorable bets, we are okay.

Shaan: Howard Marks came on the podcast. He laid out why the S&P might be a bad bet for the next 10 years, and his take was that if you look at the current PE ratio of the S&P, which was 23 or something like that, the forward 10-year return had vacillated between -2 and 2% anytime that had happened. I want a quick reaction. Bullish or bearish on the S&P index, right if you were to be an investor.

Mohnish: Bearish.

Shaan: Same reason?

Mohnish: Howard is smart. I do not disagree with that.

Shaan: GLP-1s. It is amazing.

Mohnish: We have the best thing since sliced bread.

Shaan: Exactly, and it puts sliced bread out of business. I read a stat that the GLP-1 drugs, Ozempic and the others, currently generate double the revenue of the AI companies. It is like 79 billion a year versus 40 billion.

Mohnish: We are embryonic right now. Also, science is going to get a lot better.

Shaan: Tell me how you are thinking about that right now from an investor's point of view.

Mohnish: From an investor's point of view, for me, it goes in the too-hard pile, and the reason for that is industries with rapid change are the enemy of the investor, according to Warren. Wegovy was king, then Mounjaro became king, and now they are talking about tablets. The tablets are going to have a hard time because they have to go through the liver and all that. To me, this trajectory is going to continue. But given the valuations and given where it is headed, coal is simpler.

Shaan: A few years ago, when I was at your house, I asked you about Bitcoin, and you similarly were somewhat bearish on it, but you said, “It is in the too-hard pile for me.” Has anything changed in your opinion? All money is a confidence game. Every currency, every gold bar, is a confidence that this

will last. I was curious if anything had changed over time for you with Bitcoin.

Mohnish: I prefer gold to Bitcoin. It is not used by a bunch of scammers and ransom seekers. To me, the whole thing is in the too-hard pile, but I would say that given that we already have gold, why do we need Bitcoin?

Shaan: I will not debate you on that because it would be a four-hour podcast. There are a couple of life models I wanted to ask you about because I asked you many of the investing truths. But then some of yours, I feel like maybe are related to investing, but probably not. One was "Do not die at 25 and get buried at 75." What do you mean?

Mohnish: That is a quote by Ben Franklin. As you know, I have no original ideas. Ben Franklin said that many people die at 25 and are buried at 75. What that is saying is that you have stopped growing, you have stopped doing things, and you are just coasting. I had discussed the stock with Charlie in my last meeting with him, and he was buying that stock 6 days before he died. He was 99.9 years old. He did not know he was going to die in 6 days. But when you are 99.9 years old, you know that life expectancy is not 20 years or 10 years. I saw Charlie make investments, bets, and decisions, ignoring his mortality. He was making the bets as if he were 25. Living till the very end, truly living, is important. We want to pursue our passions. We want to get our music out. We want to be doing the things that we want to do for this very finite time we have here.

Shaan: Get your music out? What does that mean? I saw that on your list, but I did not know what it meant.

Mohnish: We all have music in us, and it is different. For the musicians, it is actual music. We have to understand who we are, and understanding who we are is not easy. We have to understand who we are, and we have to understand what it would be something we want to bring to this world that makes the world better and makes us feel a sense of accomplishment for doing that. We all have special talents. Everyone has something special. We have to get that out because that is going to be a fulfilled life.

Shaan: September 28th, 2075. Apparently, that is the date I am going to die. One of your pieces of advice is, and I quote, "Ask God Google when you are going to die and act accordingly." Last night I Googled when I would die. I gave it all my info: I am a non-smoker, this is my age, and I have done this and that. It gave me a range and the most likely date. September 28th, 2075. Now what do I do?

Mohnish: Contrary to Seneca, life is short. Gandhi has a quote. He says, "Live as if you were to die tomorrow. Learn as if you were to live forever." Even Steve Jobs said that if he spent 2-3-4 days doing not what he really wanted to do or loved doing, he would make a change. In my opinion, 2075 seems a long way away; 49 years. But it is not that far away. There is a Buddhist saying about living in the moment. Living in the moment is fantastic. Treating every day as if it is your last and living it to the fullest for the full 49 years. That is what you want to be doing. People say, "Oh, I am going to graduate, then I am going to work 3 years at McKenzie, then I am going to get some

experience, then I am going to start my business." Buffett would say that is like saving sex for old age. Not a good idea. Do not make a lot of long-term plans. We have to enjoy today. Do not wait to live. We have to enjoy every day. We have to get the music out, do what we love to do, work with people we like, admire, and trust, and pursue our passions. We have to do that all the time.

Shaan: That is like eating clean, exercising, and getting good sleep. What those are to health, I feel like what you are describing is to living life well. One of the things that I think is part of the music you get out is that not only do you study investing and study companies to invest in, but you also study the investors as well. My favorite learnings from you have been the stories and insights you have from studying all the great investors. I want to ask you about a couple of names. The first is Ed Thorp. Tell me about him. What do we learn from Ed Thorp?

Mohnish: The first time I met Ed Thorp, I was naked. Just to give you the long-form answer. Ed Thorp: MIT-trained PhD mathematician, extremely smart. He worked with Claude Shannon. If you study Shannon and his podcast, he is probably one of the smartest humans who has ever lived. Ed Thorp used MIT's mainframe computer to figure out how to optimally play blackjack. He came up with what we now call "basic strategy." At that time, in the early 60s, when he did this, casinos in Vegas and Reno played single-deck blackjack to the end of the deck. Blackjack is a game where every time a card is played, the odds change. If a deck gets filled with more aces and tens or whatever else, then it is in your favor. Smaller cards are against you. He is counting cards, and it is easy to do. When the deck got loaded, he would increase his bet. When not loaded, he would reduce his bet. He cleaned the casinos out. At that time, the casinos were mob-run. They showed him a baseball bat and said, "Do not ever come back." They did not even know what he was doing and why they were losing money. They only knew that they were losing money. That is all they cared about. He was a meek and timid guy. He said, "Wow, they might kill me. I am not going back." But to get back at them, he wrote a book called *Beat the Dealer*, which sold millions of copies to teach people how to beat the casinos. The casinos freaked out and thought, "Now we have 10,000 head tops coming at us." Blackjack has been a game from then till now, where the rules have continuously changed. They introduce multiple decks and different rule changes to keep up with all of that. Anyway, he did well. He wrote *Beat the Dealer,* and then he realized that there was a better casino than Vegas, which was the New York Stock Exchange. There is something known as the "Black-Scholes" formula, which is the way options are priced. The guys who came up with it got the Nobel Prize for that. It tells you if you have a stock with whatever volatility, how to price the options, the call options. Ed Thorp cracked how options were priced before Black-Scholes, but decided instead of getting a Nobel Prize, he was going to make money off it. He set up an entity called Princeton Newport Partners, and they killed it: 25-30% a year with no down years. He did that for a while and became wealthy. He moved to Newport Beach, became a professor at UCI, and then—just think about this as kind of a Forrest Gump story—someone introduces him to Ken Griffin, Citadel's founder. While he is at Harvard, trading out of his dorm room, Ken asks—because Ed was not using all his algorithms and everything else, he had retired—if he would give it to him. Ed talked to Ken, realized he was

unusual, and said, “You can have it all, and I want to invest with you.” He becomes one of the early investors in Citadel.

.

That engine just keeps going. Then he also meets Buffett for bridge in the 70s and realizes this is the guy, and he puts a bunch of money with him. He is invested with Ken Griffin, with Warren Buffett, with himself, Princeton Newport Partners, and the casino, all of the above. I am in Irvine, California. I am at this club where I go to play racquetball, and I am getting ready for my racquetball game. As I am getting ready, I am naked, and this older guy is looking at me, and there is a Wall Street Journal next to me, and he says to me, "What do you do?" I said, "Oh, I run a hedge fund.” He starts talking to me, and I forget that I am naked. Then he says, "I am Ed Thorp." I get so excited. I said, "Oh my god, Ed Thorp." I go up to him, and I am talking, and then I realized, "Mohnish, you are naked. This is not appropriate." I said, "Ed, can we meet for lunch? I promise you I will not show up this way." He said, "Absolutely." Then I met him for lunch and got to know him. In fact, I just got a Christmas card from him, and he wrote me a nice note. Ed is fantastic. That is a great guy. He is almost 90 and in great health. You should get him on the podcast.

Shaan: He also beat roulette, did he not?

Mohnish: Yes. They had something they wore that would tell them what was going on with the roulette.

Shaan: That is an unbelievable story. You mentioned Ken Griffin. I have heard some of the Ken Griffin lore. What do you know about him, and what made him special, and why maybe Ed initially spotted that this guy might be a little bit different?

Mohnish: I met Ken around 2000 or so. I was running the IT company, and someone I knew said that they were looking for consultants. My wife went in as a consultant to Citadel. She is at Citadel. There might have been 10 people around that time. She would come home every evening with a whole bunch of Ken stories. She would tell me this guy is unusual, and the place is unusual. Everything is unusual. He had hired some whiz-bang Russian mathematician, PhD postdoc or whatever, who was working on the algorithms, and everyone at Citadel would come to this Russian guy with their problems. Ken did not want anyone to come to him. He just wanted him to crank without anyone bothering him. My wife told me that there was a temp that was hired, and Ken told the temp, “Here is your desk. Here is you. Here is the mathematician. No one crosses.” The temp says, “What do I do?” and he replies, “Nothing. Your whole job is to make sure no one crosses. No one talks to him.” The temp herself is in shock, thinking, “Someone is paying me to file my nails.” Ken is an intense guy. But he is smart. He found all the different nooks and crannies and built a tremendous business. I have a lot of respect for him. Awesome. He did a great job.

.

Shaan: I feel like I can binge on Ken Griffin’s stories. When Enron was going out of business, did you hear the story?

Mohnish: Yes, they all went in and got all the trading—got all the smart guys out, like a rescue mission. I read the other day that they had made an offer to some

guy at Harvard, a new grad, and Ken asked him, "Let us say you made 10 million in a year. What would you do?" He said, "Oh, I would quit. I would go climb the tallest peaks, do this and that." Ken says, "Please reject our job offer. We have already made the job offer to you. We cannot rescind it, but please do not accept it because we do not want someone like you. We do not want someone at 10 million who dies at 25."

Shaan: You have done podcasts like these before with me and others. I think our podcast has been listened to by more than 5 million people. However, the sad part of that is I bet if I talk to those 5 million and I say, "What did you really take away? What do you remember? What was the thing that you took?" I am not sure how many would have something that clicks. I want to make it easy for them this time. What is the thing that they cannot miss out on in this one? I do not want people to just listen, be entertained, and go back to doing things exactly the way they were.

Mohnish: Lead an aligned life. Who we are is hardcoded at the age of five. Between our genetics and what happens in the first 5 years —how old are your kids?

Shaan: I have a 6-year-old, a 5-year-old, and a 2-year-old.

Mohnish: Okay. You have some work you can do for the 2-year-old, but for the 6- and 5-year-olds, the cake is already baked. Especially after they are 12, the only thing you can do for them is control who their peers are. What happens with us humans is that we show up in this world without an owner's manual. We do not know what our calling is. The calling is predetermined at the age of five. If we do not follow that calling, we are misaligned. We have an inner map, and to have a great life, we need to align it with who we are externally. To do that means you have to understand who you are. There are clues to understanding who you are. What you have to do is whenever you do any activity, you have to ask yourself how much did I like that? When you meet someone, how much did I like meeting that person? You have to try to get to the point where the glove fits. You may be a lawyer, but you were meant to be an artist, or you may be a musician, but you are meant to be a running back. I found it out by going through these industrial psychologists, where we did all this work, and I was able to get to what my calling is when I was 34 or 35 years old. Till then, I was wandering in the wilderness, completely lost. Then life became a lot better. Getting to an aligned life is the most important thing. It is not being a great investor or finding great investments or any of that. The thing is, you have to get your music out, and you have to understand what that music is. You have to live an aligned life. It is worth the pursuit, however painful it may be, to understand that, as early as you can in life. The shortcut is to go through psychological tests with a psychiatrist.

Shaan: What do you ask them to do? Is there a name for this?

Mohnish: You tell them that I want to understand who I am and what my calling in life is—what am I supposed to be doing now? You could go to my guy. You can go to him.

Shaan: Who is your guy?

Mohnish: His name is Jack Skeen.

Shaan: I have met Jack. He does a kind of full life 360 sort of analysis.

Mohnish: Yes. You can go to Jack. He can only do 20 a year or something. He cannot do it at scale, but he may know others. That is a pretty foolproof way to get there. Other than that, you have to feel your way. If you are not willing to do that, then you have to look at what you like, what you do not like. You have to look at whether doing something energizes you or does not energize you—those sorts of things. You have to find what you love doing. If you only do what you love doing, you will do it extremely well.

.

Shaan: Why do you think most people do not do that?

Mohnish: It is because the world tells us what we are supposed to do. We think that what the world tells us we are supposed to do is what we are actually supposed to do. For example, the human brain is set up optimally to start specializing after the age of 11. From the age of 11 to 20 is a window to specialize. That is the exact window when the education system makes you a jack of all trades. Michelangelo was doing his sculptures, paintings, and all that when he was 10 or 11. Buffett picking stocks. Gates coding at 11 or 12. You have to try to, within the context of a world that wants you to be a jack of all trades, start getting to what your calling is, just like how Buffett and Gates did it. They were in a world of a jack of all trades, but within that world, Gates spent an inordinate amount of time doing coding. He would slip out of his parents' home at night, code all night, and come back and sleep. He got 20,000 hours of coding experience by the time he was in his early 20s. Nobody could touch him after that. That is your job as a parent. Make sure that when the kids are 11 or 12, you are trying to figure out what they are good at and trying to increase the time that they get for that.

Shaan: Well, I do not know what my calling is just yet. If I look back at that age, I was doing something similar to this. The two things I loved to do back at that time were: I loved to play any kind of game where there was a score. I was playing online poker at a young age—things that related to business and money. The other was that I was doing improv all the time. I loved it. What is a podcast but an improv session? I just did this for three hours, and it was no problem. I could have known that signal at a younger age.

Mohnish: I believe that if you are not there, you are extremely close.

Shaan: Yes. I want to leave you with one thing. I have a gift for you in this envelope. I want you to take a look. We asked somebody who knows you well to write a letter, and it is your friend Guy Spier.

Mohnish: Oh, wow.

Shaan: Guy wrote this letter for you. He knew you were here today.

Mohnish: Let me start reading it. The title is:

"What I Did Not Learn at HBS: Mohnish Pabrai Taught Me Everything I Needed to Succeed in Business"

"Dear Mohnish, I met you some years after my MBA. But the truth was, despite the degree, I knew next to nothing about business. My real education did not begin until we met for dinner at the restaurant at the Delamar Hotel in Greenwich, Connecticut. I remember that evening vividly. I came away from that one dinner with more ideas than I had in two years at Harvard. Books I had never heard of and ideas I had never thought of. You introduced me to *Power vs. Force* by David Hawkins and to Gandhi's autobiography, *The Story of My Experiments With Truth.* We discussed Robert Cialdini's *Influence: The Psychology of Persuasion.* But what struck me was that you had not merely read about these ideas; you had put them into practice in your own life in a way that I did not even know was possible. Sitting opposite you, I realized that I was a conventional thinker. You, on the other hand, had a very unusual mind. Someone who knew how to get things done in the real world and translate ideas into action. I myself was very misaligned at the time. I am deeply grateful that you were willing to become my friend. That allowed me, over time, to untangle some of the misaligned elements in my personality alignment."

You could not give me a better gift. This is very special. Thank you so much.

Shaan: I want to thank Guy for doing it. We called him at the last minute. I told him, "Who knows him better than you?"

Mohnish, thanks for doing this.

Mohnish: Awesome.

The contents of this transcript are for educational and entertainment purposes only, and do not purport to be, and are not intended to be financial, legal, accounting, tax, or investment advice. Investments or strategies that are discussed may not be suitable for you, do not take into account your particular investment objectives, financial situation, or needs, and are not intended to provide investment advice or recommendations appropriate for you. Before making any investment or trade, consider whether it is suitable for you and consider seeking advice from your own financial or investment adviser.
